



1.

The Budget Report of April 2009 estimated that UK government borrowing for 2009-10 would be £175 billion, or about 12% of GDP.

To what extent should government borrowing be a cause for concern?

[25 marks]

2.

The Budget Report of April 2009 estimated that UK government borrowing for 2009-10 would be £175 billion, or about 12% of GDP.

Explain possible economic reasons for changes in the level **and** distribution of government expenditure.

[15 marks]

3.

‘Failure to get a new trade deal would put another dark cloud over the world economy.’

Source: PETER MANDELSON, EU Trade Commissioner, July 2008

Evaluate the significance for the UK balance of payments on current account of increased use of protectionist policies around the world.

[25 marks]

4.

‘Failure to get a new trade deal would put another dark cloud over the world economy.’

Source: PETER MANDELSON, EU Trade Commissioner, July 2008

Explain the main economic determinants of a country's demand for imports.

[15 marks]

5.

‘It is better to do everything you can to prevent deflation before it begins, even if there is only a small chance of it occurring.’

Assess the impact on UK macroeconomic performance of a prolonged period of deflation.

[25 marks]

6.

The Global Context Extract B (lines 35–37) concludes: ‘Globalisation must surely have played its part in the success of the UK economy...whatever problems it may also have created.’

Using the data and your economic knowledge, to what extent do you agree with the view that globalisation has been of benefit to UK macroeconomic performance?

[25 marks]



7.

The Global Context Extract B (lines 5–8) argues: “It now seems unlikely that economic ‘powerhouses’ such as India and China will provide support for the global economy through trade and investment. Such support might have helped avoid world recession and restored economic growth.”

Explain the term ‘world recession’ **and** analyse how **both** trade **and** investment can help to bring about economic growth.

[9 marks]

8.

An economy which is enjoying rapid economic growth experiences a significant rise in the external value of its currency within a floating exchange rate system.

Evaluate the possible macroeconomic consequences for an economy of a rise in the exchange rate of its currency.

[25 marks]

9.

‘Inflation needs to be avoided at all costs but it is nowhere near as damaging to an economy as deflation.’

To what extent might it be argued that inflation is preferable to deflation?

[25 marks]

10.

‘The UK economy has recently been in the grip of its worst recession for 60 years.’

Assess the contribution which supply-side reforms might make in helping avoid major recessions.

[25 marks]